



AP

BATTLES LOST AND WON

Top left, US vice president Kamala Harris concedes the election at Howard University, Washington, DC; Republican vice presidential nominee J.D. Vance with wife Usha at a rally in New Hampshire, Nov. 3

problems that America faces. Few, for instance, know that Indian pharmaceutical companies supplied 40 per cent of all drug prescriptions filled in the US in 2022, resulting in an annual saving of $219 billion to America's health expenditure because of their competitive pricing.

India must also try to be the first mover in the opportunities a Trump administration could throw up. The de-risking from China is critical for US companies, which offers Indian companies a chance to partner with them in a host of key areas. The Modi government needs to ensure that these companies have a level playing field, that there is transparency and consistency in policy, apart from making sure that there is absolute ease of doing business. Mukesh Aghi of USISPF also offers the radical suggestion of converting the Quadrilateral Security Dialogue (QUAD) comprising the US, Australia, Japan and India into a common market that could become a platform for their own economic growth. Combined, these countries have a GDP of $35 trillion. These four countries, he points out, are already collaborating on technology, security and other key areas and could together drive a whole new agenda on the economic front.

One cannot be sure if Trump will buy into this form of mini-lateralism, especially as his 'Make in America' policy, which Biden also pursued, clashes with Modi's Make in India initiatives. Or if he will encourage friendshoring some of the US production capacity to India. As Madan says, "It depends on how Trump decides to deal with China. If he is hawkish towards Beijing, it incentivises his administration to give high priority to engage with India. Also, both India and the US will have to show willingness to manage their differences, including the pretty big stuff."

In addition to trade issues, Trump's position on climate change, including his decision to pull the plug on Biden's initiative to provide incentives to companies to lower their carbon emissions and fund greentech development, may be a source of worry. Trump's "drill-baby-drill' slogan to encourage US domestic oil industry to expand production will mean a huge setback to the world climate change movement that India is committed to. On the plus side, it eases the pressure Europe has been putting on New Delhi to hasten its plans to phase out coal. Trump may also not press the brakes hard on green energy projects, so that his most vociferous supporter, Tesla chief Elon Musk, can fulfil his ambition to make his company the world's largest producer of electric cars.

India may have one more thing going for it for Trump to maintain the relationship—the high-profile and prosperous 4.5 million Indian diaspora, which he has actively sought to woo. Kamala Harris may exit as vice president in January but Usha Vance, wife of VP-elect J.D. Vance, will ensure the India flavour remains. With Trump being an instinctive leader and responsive to personalised diplomacy, the old Modi playbook of hugs, rallies, catchy slogans like 'Namaste Trump' and blandishments could work well. The return of President Trump is without doubt one of the greatest political comebacks the US has seen. We also know that he will be predictably unpredictable. And that is precisely why his second term promises to be one of the biggest turning points in world history. ■